

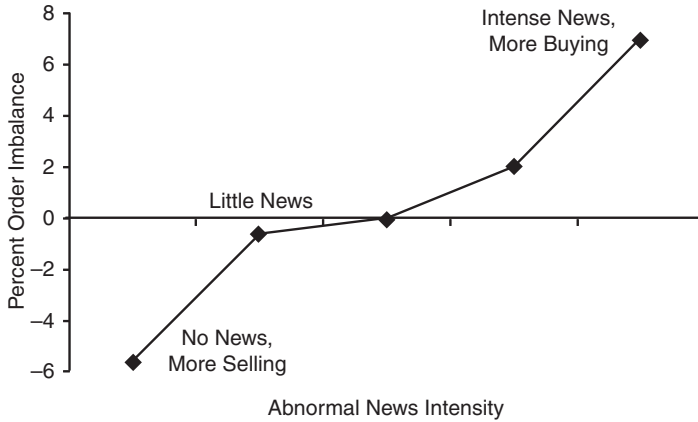


FIGURE 13.1 Order Imbalance as a Function of News Intensity
Reprinted with permission from Brad M. Barber and Terrance Odean, “All That Glitters: The Effect of Attention and News on the Buying Behavior of Individual and Institutional Investors” (working paper, University of California-Berkeley, 2002).

investors who engage in attention-based buying do not benefit from doing so. Abnormal volume and extreme return analysis that Odean and Barber performed showed that attention-grabbing stocks do not outperform the market.

In this paper, Odean and Barber illustrated a direct practical application of availability bias in individual finance: people tend to deviate from rationally prescribed economic behavior because, in this instance, they lack the capacity to process the utterly massive quantities of data that ought to contextualize a truly “rational” stock purchase. Information that is literally available to investors—information that is published on a daily basis—simply isn’t always cognitively available. When pertinent information isn’t available in this latter, practical sense, decisions are ultimately flawed.